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CASE #	CASE NAME	HEARING NAME
CVRI2505329	ONE STOP TREATMENT, LLC vs AURORA RECOVERY	MOTION TO BE RELIEVED AS COUNSEL FOR AURORA RECOVERY

Tentative Ruling:

The motion to be relieved is granted. The order shall be effective upon filing a proof of service of the signed order.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2506377	CANTON vs RIVIAN AUTOMOTIVE, INC.	MOTION TO COMPEL

Tentative Ruling:

On June 12, 2025, Plaintiffs Oswaldo Canton and Yanez Sanchez Wealth Inc. leased a 2025 Rivian RIS. Plaintiffs allege they presented the vehicle to Defendant Rivian Automotive, Inc. for repairs of defects, malfunctions, misadjustments, and/or nonconformities and each time they failed to conform the vehicle to warranties, despite representing that they did so after a reasonable number of attempts to repair.

On November 25, 2025, Plaintiffs filed their complaint for damages alleging the following causes of action: 1) Breach of Implied Warranty of Merchantability under the Song-Beverly Act; and 2) Breach of Express Warranty under the Song-Beverly Consumer Warranty Act.

Defendant Rivian Automotive, LLC now moves for an order compelling Plaintiffs to arbitrate their claims in accordance with their arbitration agreements contained in the Lease Agreement, Rivian Motor Vehicle Agreement ("RVMA") and Warranty Agreement. Defendant argues Plaintiffs entered into a lease agreement with Rivian, LLC which contains a binding arbitration agreement and a clause explicitly identifying it as a third-party beneficiary. Defendant argues the FAA governs and requires the parties arbitrate.

Plaintiffs oppose and argue Defendant waived the right to arbitrate by delaying their demand. They argue Defendant has not shown there is any valid agreement to arbitrate or that they agreed to any valid and enforceable arbitration clause. Plaintiffs state their claims do not arise from the lease agreement and Defendant is not a third party beneficiary. They argue they cannot be compelled to arbitration pursuant to the warranty manual. They argue Defendant should be precluded under collateral estoppel from relitigating this issue because it has already been argued and decided in *Malhotra*

v. Rivian Automotive, Inc., Case No. CVRI 2600253, Rivian moved to compel arbitration, and the court (Department 7) denied the motions.

In reply, Defendant argues it may enforce arbitration as a named Third Party Beneficiary. Plaintiffs agreed to the enforceable arbitration clauses and the Song-Beverly Act claims are subject to arbitration. Defendant argues it did not waive its right to arbitrate. Finally, it states collateral estoppel does not apply because it involved different facts, namely a different Rivian entity that was not a third party beneficiary.

Analysis

I. Standard

“Code of Civil Procedure section 1281.2 requires a trial court to grant a petition to compel arbitration if the court determines that an agreement to arbitrate the controversy exists.” (*Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 59, quotations omitted.) Accordingly, “when presented with a petition to compel arbitration, the court’s first task is to determine whether the parties have in fact agreed to arbitrate the dispute.” (*Ibid.*) A petition to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Id.* at 71.) As with any other specific performance claim, “a party seeking to enforce an arbitration agreement must show the agreement’s terms are sufficiently definite to enable the court to know what it is to enforce.” (*Ibid.* [internal citations omitted].) “Only the valid and binding agreement of the parties, including all material terms well-defined and clearly expressed, may be ordered specifically performed.” (*Ibid.*) An arbitration agreement “must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful.” (Civ. Code, § 1636.) The language of the contract governs its interpretation if it is clear and explicit. (Civ. Code, § 1368.) If uncertainty exists, “the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist.” (Civ. Code, § 1654.)

The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) It would then be plaintiff’s burden, in opposing the motion, to prove by a preponderance of the evidence any fact necessary to her opposition. (See *Ibid.*) “In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Ibid.*)

II. Existence of Arbitration Agreement

To lease the vehicle, Plaintiffs executed the RMVA using OneSpan, (a service similar to DocuSign). (Decl. of Caitlin Bethlahmy, ¶ 3, Exh. B.) Section 16 of the RMVA provides that it “governs all Disputes between you and Rivian,” defining “Dispute” as “any dispute, demand, claim, or controversy of any kind between you and Rivian, whether based in contract, tort, statute, or otherwise.” (*Id.*, ¶ 6.) The RMVA

incorporates the New Vehicle Limited Warranty Guide, which states that “[a]ny claim or dispute you may have related to your New Vehicle Limited Warranty or the duties contemplated under the warranty (among other disputes) will be arbitrated pursuant to the terms of the Final Agreement to Purchase,” (*Id.* at ¶ 8), and reproduces the Section 16 arbitration text. The first page of the RMVA states in capital letters that the agreement “REQUIRES THE USE OF ARBITRATION ON AN INDIVIDUAL BASIS TO RESOLVE DISPUTES.” (*Id.* ¶ 5, Exh. B, p. 6.) Plaintiffs’ electronic signatures were verified and the document was not modified. (*Id.*, ¶ 5.) Plaintiffs’ never sent an email opting out of the arbitration provisions. (Decl. of Lucia Caffey, ¶ 3.)

A third-party beneficiary may compel arbitration when it is an intended third-party beneficiary to the agreement. (*Michaelis v. Schori* (1993) 20 Cal.App.4th 133, 139.) Here, the arbitration agreement specifically indicates that Defendant is an intended third-party beneficiary. Section 18 provides that “Rivian, LLC’s subsidiaries and affiliates, including but not limited to . . . Rivian Automotive, LLC, shall be entitled to rely upon, shall be express third party beneficiaries of, and shall be entitled to enforce, the provisions of this Agreement.” (Bethlahmy Decl., at ¶ 5, Exh. B.) The clause names Defendant by name and grants it enforcement rights, satisfying Civil Code section 1559 and the “motivating purpose” test. The warranties are provided by Rivian Automotive, LLC, Rivian, LLC’s wholly-owned subsidiary. (*Id.* at ¶ 6.)

Plaintiffs argue Defendant is not a third party beneficiary under *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, but the facts are distinguishable. *Ford Motor* addressed independent-dealership sales contracts that did not designate the manufacturer as a beneficiary; the court declined to infer third-party-beneficiary status from surrounding circumstances. (*Id.* at p. 862.) Here, the parties expressly named Defendant and gave it enforcement rights, and the transaction also involves a parent-subsidary structure rather than an independent dealership. *Ngo v. BMW of North America, LLC* (9th Cir. 2022) is likewise inapposite because the RMVA does not require the court to infer an incidental benefit.

Plaintiffs’ claims also fall within the arbitration clause. Section 16 reaches “any dispute, demand, claim, or controversy of any kind . . . whether based in contract, tort, statute, or otherwise,” and the incorporated Warranty Guide expressly covers claims “related to your New Vehicle Limited Warranty.” (Bethlahmy Decl., ¶ 5, Ex. B, p. 5; ¶ 6, Exh. C, p. 8.) Plaintiffs’ Song-Beverly warranty claims fall within that scope.

The delegation clause commits gateway issues to the arbitrator. Parties may delegate threshold questions of arbitrability to the arbitrator where (1) the delegation is “clear and unmistakable” and (2) the delegation clause is not itself revocable under general contract defenses. (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 241–242.) Section 16 provides that “[t]he arbitrator, and not any federal, state, or local court or agency, shall have exclusive authority to resolve all disputes arising out of or relating to the interpretation, applicability, enforceability, or formation of this Section,” including “whether a Dispute is subject to arbitration, issues relating to whether this Section is applicable, unconscionable, or illusory, and any defense to arbitration, including waiver, delay, laches, or estoppel.” Bethlahmy Decl., ¶ 5, Exh. B, p. 7-8.) That language is clear and unmistakable.

The party opposing arbitration must challenge the delegation clause “specifically”; a general attack on the arbitration agreement is not enough. (*Nielsen Contracting, Inc. v. Applied Underwriters, Inc.* (2018) 22 Cal.App.5th 1096, 1109; *Nickson v. Shemran, Inc.* (2023) 90 Cal.App.5th 121, 133; *Kader v. Southern Cal. Medical Center, Inc.* (2024) 99 Cal.App.5th 214, 220–221.) Plaintiffs argue unconscionability, but direct those arguments at the arbitration agreement as a whole and do not challenge the delegation clause itself. Because the delegation clause is clear and unmistakable and unchallenged, the arbitrator, not this court, must decide waiver and unconscionability. (*Crippen v. Central Valley RV Outlet, Inc.* (2004) 124 Cal. App.4th 1159, 1167.)

Finally, Plaintiffs argue Defendant waived any right to compel arbitration. Waiver occurs “when the party seeking to enforce a known contractual right has intentionally relinquished or abandoned that right.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569.) “To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it.” (*Id.* at p. 584.) “Its intentional relinquishment or abandonment of the right may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with the intent to enforce the contractual right as to lead a reasonable factfinder to conclude that the party had abandoned it.” (*Ibid.*) Defendant engaged in minimal actions inconsistent with the right to arbitrate. Defendant was only named a party to the lawsuit in January, and filed this motion in June. Defendant’s CMC Statement indicated it would be filing this motion. As such, the Court does not find that Defendant acted in a manner inconsistent with an intent to arbitrate as to lead a reasonable factfinder to believe it abandoned its right.

In conclusion, finding an agreement to arbitrate exists between Plaintiffs and Defendant, Defendant’s motion to compel arbitration should be granted. Under Code of Civil Procedure section 1281.4, the Court stays this action pending arbitration.